Team #13
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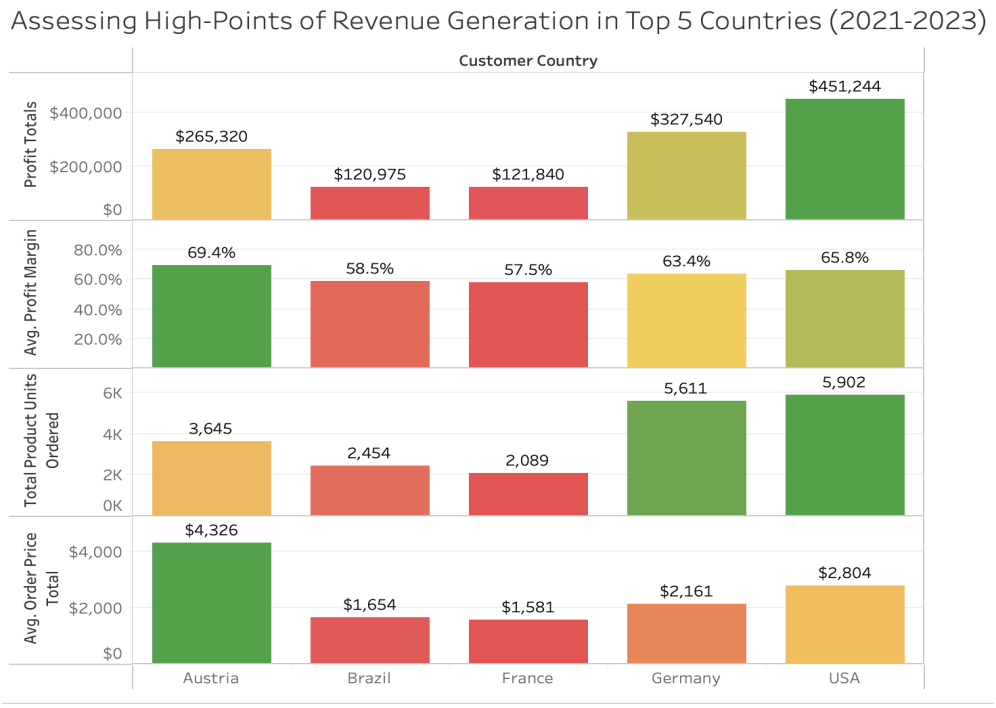
NORTHWIND
TRADERS

Presentation Like: https://youtu.be/2RbT-YcJlvo

Executive Summary



Northwind is profitable but structurally over-concentrated, creating measurable margin and volatility risk. Revenue and profitability are driven by a small set of quarters, countries, customers, and products, limiting long-term sustainability if left unaddressed.

Our high-level dashboard highlights four recurring structural patterns:

• Seasonal imbalance, with Q4 and Q1 outperforming Q3 by nearly $87K in profit.

• Geographic concentration, with the United States and Germany generating over $1.09M compared to less than $16K combined from Norway and Poland.

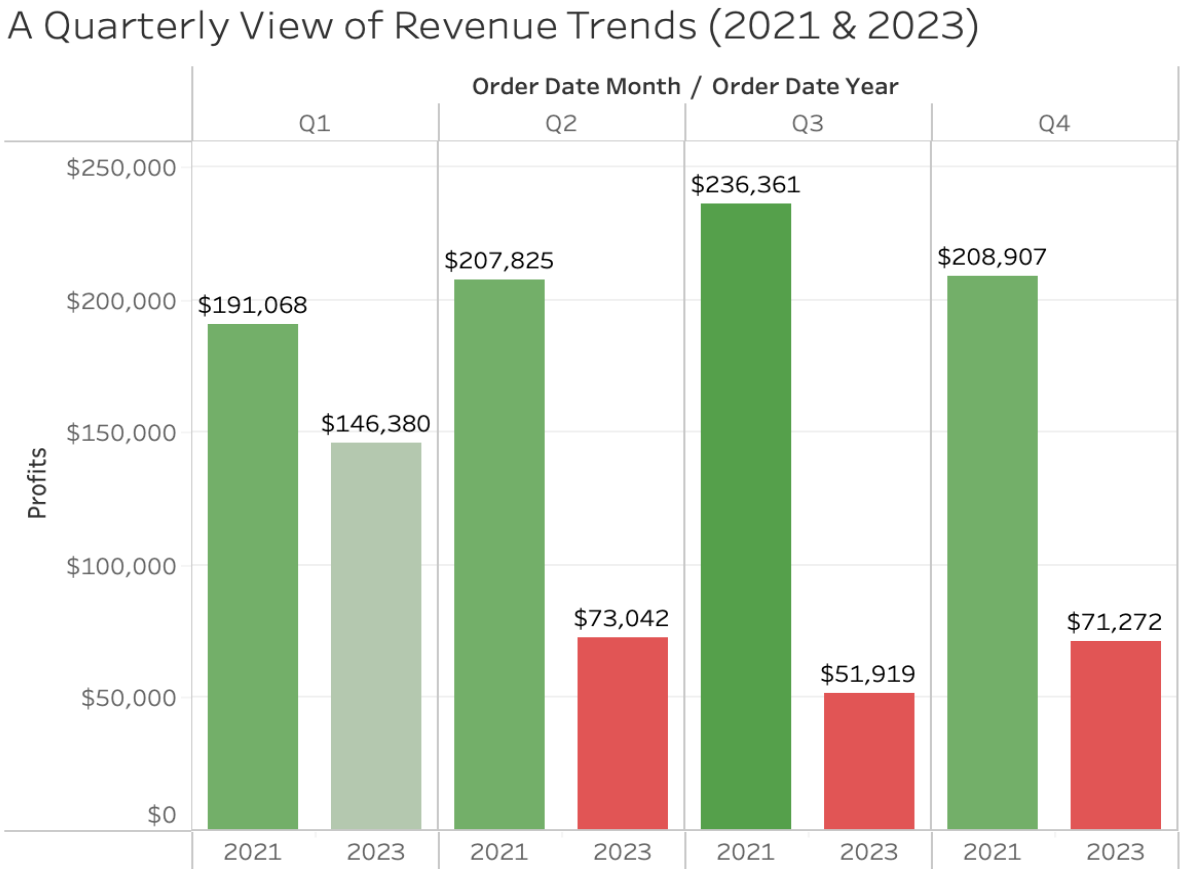
• Customer dependency, as the top five accounts contribute over $1.1M in revenue, including one showing sustained decline.

• Product margin risk, where five SKUs repeatedly fall below 5% margin, appearing 26 times across three years.

Individually, these represent manageable inefficiencies. Collectively, they indicate concentration risk and margin leakage under Northwind's Activity-Based Costing framework.

While no immediate financial crisis is evident, the current structure exposes the company to volatility should a major customer, market, or product category weaken further.

Immediate strategic focus should be placed on margin correction, revenue diversification, and stabilization of underperforming periods to protect sustainable growth



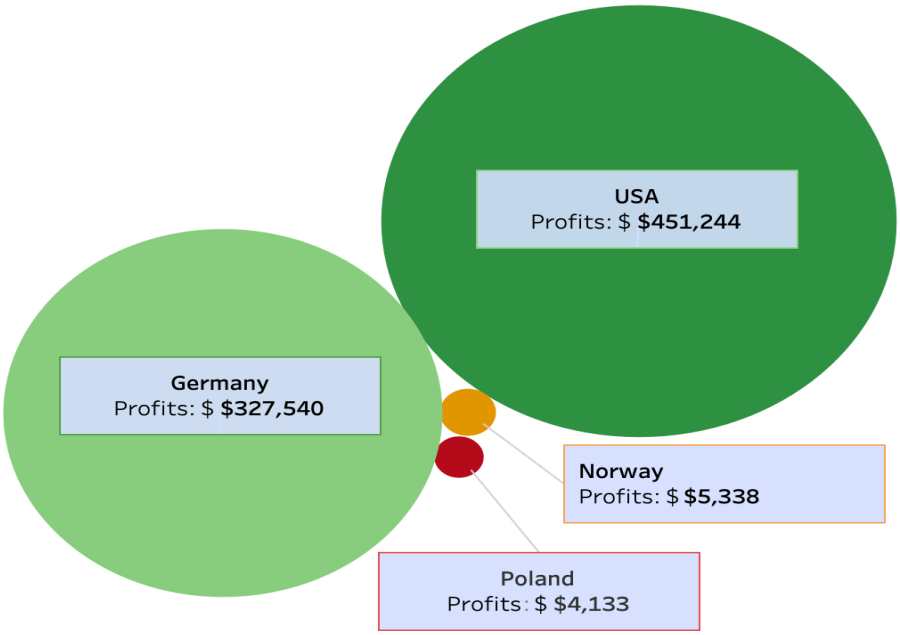
Quarterly profits show a clear decline from 2021 to 2023, with every quarter experiencing reduced performance and the steepest drops occurring in the middle of the year. In 2021, profits ranged from $191K to $236K, with Q3 as the strongest period. By 2023, quarterly profits fell to a range of $51K to $146K, with Q3 becoming the weakest point at a dramatically lower level than in 2021. The year-over-year comparison highlights a meaningful erosion of profitability across all seasons, suggesting broader demand, pricing, or operational challenges affecting the business.

Across the four quarters, the contrast between years is significant. Q1 declined from $191,068 to $146,380, Q2 from $207,825 to $73,042, Q3 from $236,361 to $51,919, and Q4 from $208,907 to $71,272. The most pronounced declines occur in Q2, Q3, and Q4, where profits dropped by more than $130K in Q2 and Q4, and by $184K in Q3. This pattern suggests that factors such as reduced customer demand, pricing pressure, supply chain constraints, or competitive dynamics may be disproportionately affecting the business in 2023.

The consistent year-over-year decline across all quarters signals the need to understand what changed between 2021 and 2023—whether customer behavior, product mix, cost structure, or

external market conditions. The sharp deterioration from Q2 through Q4 warrants deeper investigation into demand drivers, promotional timing, and operational efficiency. Strengthening these periods could help stabilize annual profitability. Understanding the product and customer contributions behind each quarter will be essential for refining inventory planning, pricing strategy, and targeted sales efforts.

Top 2 Countries Producing Nearly 30% of Global Market Value While Bottom 2 Producing <1% (2021-2023)

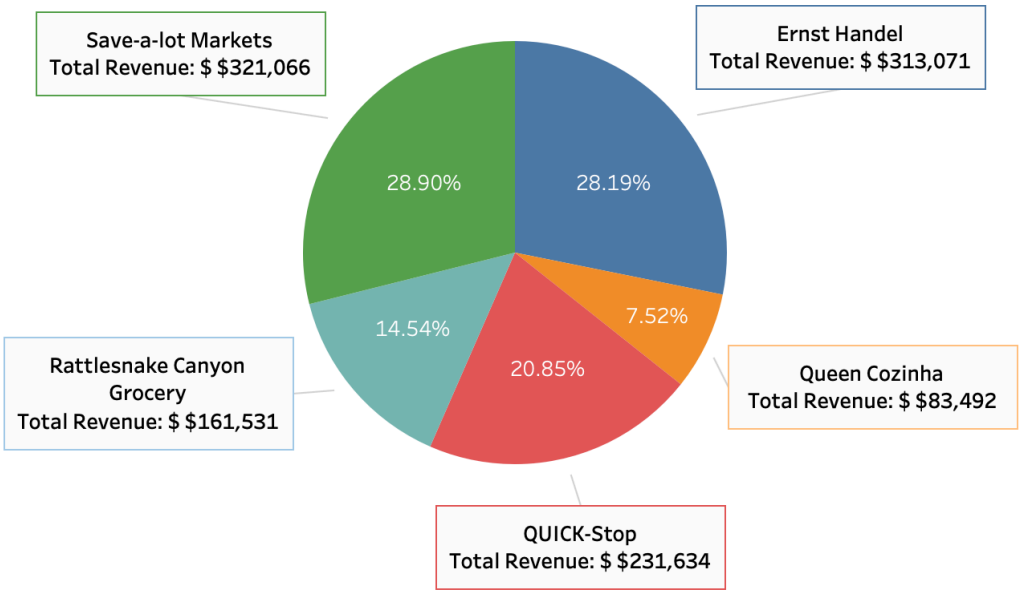


Revenue performance varies significantly across countries, with the United States and Germany emerging as Northwind's strongest markets. The USA leads with $451.2K in total revenue, followed by Germany at $327.5K, together accounting for nearly $800K in sales. The United States and Germany have led with the highest sum of sales over the collective 3 year period despite gaps in sales history. These gaps are likely linked to supply chain gaps stemming from geopolitical climate shifts and are unique events. While the gaps were likely unique, we are in a climate of change and should preventatively develop plans to close supply chain gaps in case of similar events.

In contrast, Norway and Poland contribute minimal revenue, generating only $5.3K and $4.1K, respectively. The gap between the top and bottom countries exceeds a factor of 82, highlighting a substantial geographic imbalance and potential for market expansion. These low-performing markets show little year-to-year variation, suggesting persistent challenges rather than temporary dips.

The dominance of the USA and Germany presents both opportunity and concentration risk, while the limited activity in Norway and Poland raises questions about market potential, customer engagement, or product fit. Further analysis can help determine whether these regions represent untapped growth opportunities or areas for strategic de-prioritization.

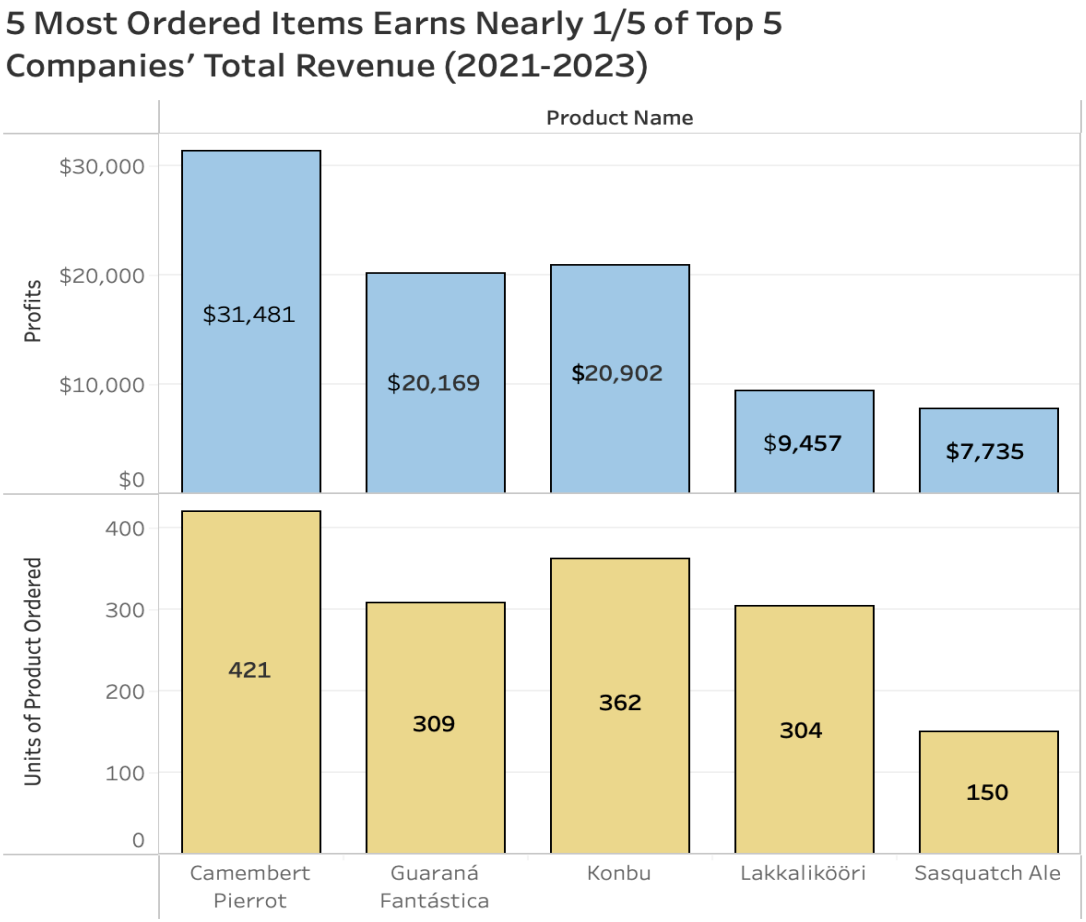
Top 5 Companies Producing Over 25% of Top 5 Countries Revenue (2021-2023)



Revenue among Northwind's top companies is highly concentrated, with a small group of accounts driving most of the financial impact. Save-a-Lot Markets (USA) leads with $321K, closely followed by Ernst Handel (Austria) at $313K. The United States stands out as the strongest overall market due to multiple high-value customers, while Austria and Germany rely heavily on a single dominant buyer.

Across the top five customers, total revenue exceeds $1.1M, underscoring their importance to Northwind's performance. Several customers exhibit year-to-year volatility, including Queen Cozinha (Brazil) and QUICK-Stop (Germany), which may indicate shifting demand patterns or inconsistent purchasing behavior. Queen Cozinha, in particular, has shown a consistent decline in revenue since 2021, suggesting a potential loss of engagement or changing product needs within that account.

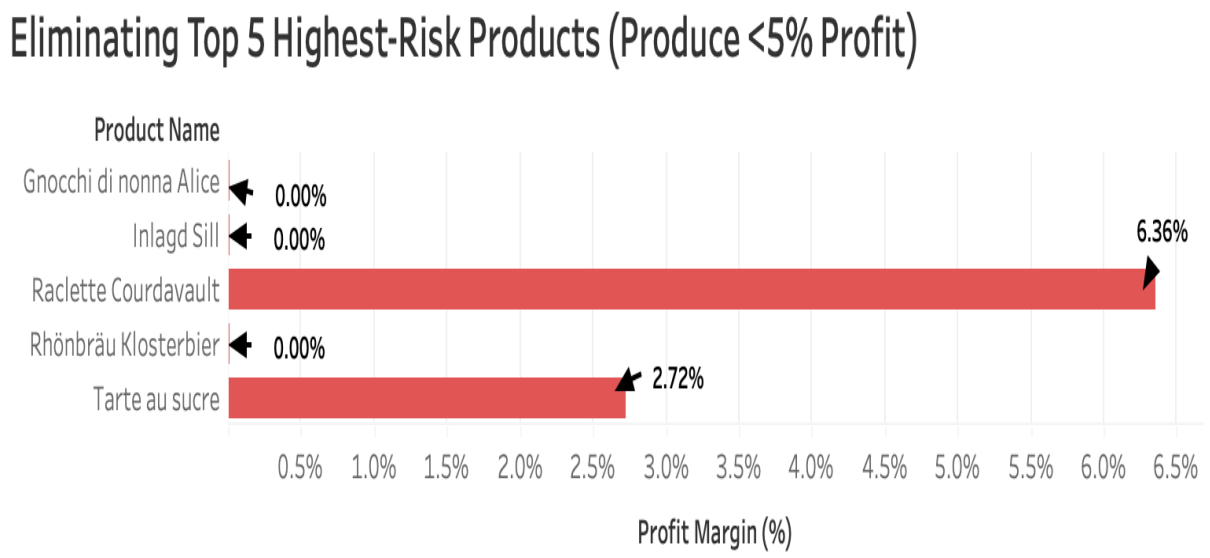
These dynamics highlight both the strength and fragility of Northwind's customer portfolio. Markets with multiple strong accounts offer stability, while those dependent on a single buyer carry concentration risk. Understanding the drivers behind revenue fluctuations and customer behavior will help identify opportunities to strengthen relationships and stabilize performance.



Product demand among Northwind's top customers centers around a handful of high-volume items. Konbu leads with 248 units ordered, followed closely by Guaraná Fantástica at 220 units, both purchased by major accounts such as Save-a-Lot Markets and Ernst Handel. QUICK-Stop contributes two additional top-performing items—Camembert Pierrot and Lakkalikööri—rounding out the list of high-demand products.

Despite Konbu's volume, Guaraná Fantástica generates the highest profit at $11.6K, with Camembert Pierrot close behind at $8.5K. Across all five products, total volume reaches 891 units, and total profit amounts to $38.4K, indicating strong alignment between customer demand and financial return.

These patterns suggest opportunities to optimize inventory planning, strengthen supplier relationships, and explore targeted promotions for high-performing products. Products with high volume but moderate margins may benefit from pricing adjustments or cost reviews, while high-profit items could be prioritized in customer engagement strategies.



A small group of products consistently generates profit margins of 5% or less, signaling potential inefficiencies or pricing challenges. Across 2021–2023, these low-margin items appeared 26 times, with Raclette Courdavault showing the highest frequency at 8 orders, followed by Rhönbräu Klosterbier with 6 orders. The remaining products—Gnocchi di nonna Alice, Inglad Sill, and Tarte au sucre—each appear four times.

Most low-margin activity occurred in 2021 (16 orders) and 2023 (9 orders), with minimal presence in 2022. The consistency of these products across multiple years suggests structural issues such as high supplier costs, inefficient pricing, or limited customer willingness to pay.

These items may be eroding profitability, especially if they are frequently ordered by key accounts. Understanding whether they serve as loss leaders, essential relationship products, or candidates for reformulation or discontinuation will help refine Northwind's product strategy. A deeper cost and margin analysis will clarify whether pricing adjustments, supplier negotiations, or product mix changes are warranted.

Conclusion

Northwind's central risk is its concentrated dependence on a small set of quarters, countries, customers, and products, creating moderate exposure that could limit growth and profitability if current patterns persist. While the urgency is not immediate, the data signals emerging vulnerabilities that require timely attention to prevent future financial

strain. The directional action is to diversify revenue sources, strengthen mid-year performance, and address margin leakage to build a more resilient business model.

Quarterly performance shows a clear imbalance: Q4 and Q1 generate $529K combined, while Q3 lags by nearly $87K, reducing annual stability. Geographic concentration is even sharper, with the United States and Germany contributing over $1.09M, compared to less than $16K from Norway and Poland. Customer concentration mirrors this pattern: the top five accounts generate $1.1M+, and one of them—Queen Cozinha—has shown a consistent multi-year decline. Product performance reinforces the theme: a handful of SKUs drive 891 units and $38.4K in profit, while five products repeatedly fall below a 5% margin, signaling structural cost or pricing issues that may be eroding profitability.

What remains unknown is the underlying cause of these patterns. The drivers behind Q3 weakness, the reasons for customer-level volatility, and the cost structures behind low-margin products require deeper investigation. Without clarity on whether these issues stem from pricing, competition, supply chain costs, or shifting customer needs, Northwind cannot fully quantify its financial exposure or determine which corrective actions will yield the highest return.

The most important next steps are to:

- Prioritize margin recovery by reviewing supplier terms, cost structures, and pricing for low-margin products.
- Stabilize mid-year performance by analyzing Q3 demand drivers and evaluating promotional or operational adjustments.
- Reduce concentration risk by identifying growth opportunities in underperforming countries and strengthening relationships with mid-tier customers.
- Protect top-line revenue by analyzing declining accounts such as Queen Cozinha and developing targeted retention strategies.

These actions will help Northwind shift from a concentrated, exposure-prone model toward a more balanced, diversified, and financially resilient business.

Request for Proposal

Problem Overview

Northwind Traders is seeking external support to conduct a comprehensive assessment of business performance across customers, product categories, geographic markets, and revenue trends. Preliminary analysis indicates that revenue is concentrated among a small number of customers and key markets, with noticeable fluctuations in annual sales and uneven performance across product categories.

For example, sales are heavily driven by a few major customers and concentrated in leading markets such as the United States and Germany, while some product categories significantly outperform others. Additionally, the company experienced a major spike in revenue followed by sharp declines and uneven recovery, creating uncertainty around long-term growth patterns.

While these trends are visible, leadership lacks a clear understanding of the operational, financial, and market drivers behind them. This limits the organization's ability to plan inventory effectively, manage customer risk, stabilize revenue, and prioritize growth initiatives.

Northwind seeks a partner who can evaluate these interconnected challenges and provide actionable recommendations to improve performance stability, strengthen strategic planning, and support sustainable growth.

Scope of Work

The selected partner will conduct an integrated review focusing on the following areas:

Customer and Revenue Concentration

- Assess reliance on high-revenue customers and associated risks
- Analyze purchasing patterns and revenue contribution across key accounts
- Identify opportunities to diversify revenue sources and strengthen customer strategy

Product Category Performance

- Evaluate differences in revenue contribution across product categories
- Identify drivers behind strong performance in categories such as beverages and dairy products compared to lower-performing areas
- Recommend adjustments to product mix and inventory planning

Geographic Demand and Market Prioritization

- Assess performance across major markets and identify regions with growth potential

- Evaluate geographic concentration of revenue and associated risks
- Provide guidance on market prioritization and resource allocation

Revenue Trends and Stability

- Analyze revenue fluctuations over time, including periods of rapid growth and decline
- Distinguish short-term volatility from underlying performance trends
- Recommend strategies to improve forecasting and stability

Profitability and Growth Opportunities

- Assess opportunities to improve margins and operational efficiency
- Evaluate potential areas for expansion or strategic focus
- Provide recommendations to support sustainable growth

Project Goals

The engagement aims to:

- Improve understanding of drivers behind revenue concentration and volatility
- Strengthen decision support for inventory, customer, and market planning
- Reduce exposure to customer dependency risks
- Identify opportunities to improve profitability and operational efficiency
- Provide leadership with clear insights to guide strategic priorities
- Support more stable and predictable performance

Current Roadblocks

Northwind currently faces several constraints:

- Limited insight into causes of revenue spikes and declines
- Uncertainty around customer concentration and dependency risk
- Lack of integrated analysis across customers, products, and markets
- Incomplete understanding of how category performance impacts overall results
- Limited visibility into geographic demand drivers
- Difficulty translating data patterns into actionable planning decisions

Deliverables

The selected partner will provide:

- Comprehensive performance assessment report
- Analysis of key risks, trends, and performance drivers
- Strategic recommendations supported by data
  Leadership presentation summarizing findings and implications
- Suggested actions to support implementation planning

Evaluation Criteria

Proposals will be evaluated based on:

- Demonstrated experience in strategy, operations, or performance improvement
- Ability to analyze complex business environments and identify risks
- Strength and clarity of proposed methodology
- Practicality and relevance of recommendations
- Understanding of organizational decision needs
- Communication quality and professionalism

Potential Recipients

This Request for Proposal may be distributed to organizations capable of providing strategic, operational, and financial advisory services, including:

- Deloitte — Strategy, Risk, and Operations consulting
- Accenture — Business transformation and performance consulting
- KPMG — Advisory and enterprise performance services
- McKinsey & Company — Strategy and operations practice
- Regional consulting firms with expertise in supply chain, growth strategy, or performance improvement

Timeline Expectations

- Proposal submission within two to three weeks of issuance
- Estimated engagement duration of approximately six to ten weeks
- Regular progress reviews with leadership

Expected Outcomes

Northwind expects clear guidance on how to reduce reliance on a small number of customers, stabilize revenue trends following recent fluctuations, prioritize high-performing markets and product categories, and improve operational planning. The engagement should provide leadership with actionable insights that strengthen performance visibility and support confident decision-making.

Budget Estimate

Northwind anticipates that proposals will fall within a budget range of approximately **$40,000 to $75,000**, depending on the proposed scope, methodology, and timeline. Vendors should provide a detailed cost estimate outlining major activities and assumptions.

Appendix A: Planning Artifacts

Team 13 - Scrum Board

Purpose: Organize ownership for each sprint task and track progress. Labelling LLM in task to-do items as "To do (Josh LLM)" since no assignee option is available.

All items | w7

To Do	Assignee	Due Date	Backlog	Doing	Done
W7: Report	Chloe Kort	03/01/2026	Part One – Final Analysis and Visualizations...		
W7: Report	Nelma Paulo	03/01/2026	Part One – Final Analysis and Visualizations...		
W7: Presenation	Emmett Meier	03/02/2026	Part Four – Asynchronous Presentation (Narrated Video)...		
W7: Presentation	Charles Brown	03/01/2026	Part Four – Asynchronous Presentation (Narrated Video)...		
W7: Presentation	Li Ma (you)	03/01/2026	Part Four – Asynchronous Presentation (Narrated Video)...		

+ Add item

Charles Brown 8:33 PM

Hey,

Is everyone available to do a zoom meeting tomorrow (Saturday) at 4pm PST? So we can go over the final team project.

The assignment is due this Tuesday March 3rd. So it's a quick turnaround and submission. (edited)

3 replies Last reply 1 day ago

2/23 - 3/1	LM: after 6pm NP: After 3pm CK: Before 5pm CB: After 2pm EM - before 2:45pm	LM: after 6pm NP: after 7pm CK: Before 5pm CB: After 2pm EM - Before 2:15pm	LM: after 6pm NP: After 3pm CK: Before 5pm CB: After 2pm EM - Before 2pm	**T - Analysis Draft and Updated RFP** LM: after 6pm NP: After 7pm CB: After 2pm EM - All day	CB: 2pm - 4pm and after 7pm LM: after 6pm NP: After 3pm EM - Before 2:15pm	CB: after 3pm LM: All day NP: After 1pm EM - all day **Zoom Meeting**	LM: All day CB: After 2pm EM - Before 2pm
3/2 - 3/8 (Last Week of Course)	T - Final Analysis, RFP, and Presentation LM: after 6pm NP: After 3pm CB: After 2pm EM - before 2:15pm	LM: after 6pm NP: After 7pm CB: After 2pm EM - after 6:15pm	n/a	n/a	n/a	n/a	n/a

Appendix B: Gen AI Documentation

Share Link:

https://chatgpt.com/gg/v/69a4e2ecc5288192a3ba808fc0469647?token=LmbhJcNATts1PqX6juxbgw

Prompts used, Interactions and key outputs:

As our consultant can you proofread this slide deck

📊 Strategic-Level Feedback (Beyond Grammar)

If this is being presented to SLT or Board, consider adding:

1️⃣ One Quantified Financial Risk Estimate

Example:

- "If one top-5 customer churns, revenue exposure ≈ $300K+ annually"

That makes CFO sit up immediately.

2️⃣ Add a Prioritized Action Roadmap (Optional Enhancement)

Instead of general "Immediate Actions," consider:

30-60-90 Day Action Framework

- 30 days: Margin audit + top account retention review
- 60 days: Supplier renegotiation
- 90 days: Market diversification pilot

This adds operational credibility.

Strong slide. One micro-edit:

Current:

> "This pattern suggests structural performance deterioration rather than isolated seasonal variance."

Suggested:

> "This pattern indicates structural performance deterioration rather than seasonal volatility."

Cleaner executive phrasing.

Slide 6 – Geographic Risk

Very strong insight.

One tightening suggestion:

Current:

> "This geographic imbalance increases exposure to regional economic volatility and limits portfolio diversification."

Suggested:

> "This geographic concentration increases exposure to regional economic shocks and limits diversification."

More direct. Stronger tone.

- Executive tone
- Flow during live presentation

No downside at all.

If you want to elevate it one more level, the next refinement wouldn't be formatting — it would be sharpening **financial impact language** (CFO-level pressure testing).

Ready to roleplay as your SLT and stress-test it?

yes stress test it as all of the executive positions, what would they question? Do we have an answer for it?

ChatGPT 5:25 PM

Perfect. Let's run a real executive stress test.

I'll play each SLT member. For each one:

1. What they will challenge
2. Whether your deck currently answers it
3. If not, how to tighten your defense

🧠 CEO

What the CEO Will Ask

1️⃣ **"Is this actually a crisis — or normal cyclicality?"**

They'll question whether this is structural or just macro noise.

2️⃣ **"What happens if we do nothing?"**

CEOs think in trajectory.

Do you have an answer?

Not explicitly quantified.

Upgrade your defense:

Prepare:

> "If trends continue, margin erosion combined with concentration risk could result in a 5–10% EBITDA compression over the next 24 months."

Even directional numbers increase credibility.

💰 CFO

This is your toughest critic.

What the CFO Will Ask

1️⃣ **"What is the actual financial exposure?"**

- If top customer churns, what's the revenue hit?
- If margins decline 2%, what's EBITDA impact?

Do you have this quantified?

Not in the deck.

where can i include these answers in our deck so it gives the answer without the executives having to prompt these questions?

ChatGPT

Excellent question. This is how you move from **"good analysis"** to **"executive-ready strategy."**

You don't want to wait for objections — you want to *pre-answer them structurally in the deck.*

Here's exactly where and how to embed the answers.

1️⃣ Add a Slide After "Profit Decline"

🔹 **Title: Financial Risk Exposure**

Place this immediately after your trend analysis (after profit decline + concentration slides).

Why here?

Because once you prove there's a problem, the next logical executive question is:

> "How big is the risk?"

What to Include:

Point of Reflection: How Josh (LLM) Supported and Added to This Analysis:

Roleplaying as each member of the Senior Leadership Team (SLT) really helped us see our project differently. Instead of thinking about it as just a class presentation, we had to think about how executives would actually react to our analysis. When we asked the AI to respond as the CEO, CFO, COO, CIO, Head of Sales, and Head of Marketing, each role challenged our work in a different way.

For example, when we roleplayed as the CFO, the main focus was on financial impact. Even though we showed concentration risk and margin decline, we realized we had not clearly explained how much money was actually at risk. The CFO perspective pushed us to think about questions like: How much revenue would we lose if a top customer left? What would a 2–3% margin improvement mean in dollars? Because of this, we added more financial framing into our slides instead of just describing trends.

When we roleplayed as the CEO, the biggest question was whether this was truly a structural problem or just temporary fluctuation. That made us clarify our three-year trend analysis and

emphasize that this was not just short-term volatility. We also added a short “If No Action” section to show what could happen if leadership ignored the issue.

The COO perspective made us realize that our recommendations were too general. We were suggesting improvements, but we were not explaining how they would be implemented. That led us to reorganize our action slide into a 30-60-90 day structure to show a clearer execution plan.

The CIO role pushed us to think about data reliability and how the company would continue monitoring these risks. The Head of Sales and Head of Marketing perspectives also helped us adjust our tone so that we were not blaming departments, but instead identifying structural risks in revenue mix and market concentration.

Overall, the roleplay helped us improve our project in three major ways. First, it forced us to quantify risk instead of speaking in general terms. Second, it helped us organize our recommendations in a more practical way. Third, it prepared us to answer tough questions before they were even asked.

This exercise made us feel more confident presenting because we were not just explaining our analysis, we were prepared to defend it from multiple executive perspectives.